

Origin Of Ethics

by Sophia



WHAT'S COVERED

In this lesson, you will begin to develop a personal working definition of ethics that is grounded in theory and social norms. Specifically, this lesson will cover:

1. How Do You Know What Is Right?

How do you know what is right? What is the right thing to do, and how do you arrive at that decision? It is not simple, easy, or even clear most of the time, but you can look through the experiences of others, lessons learned, and a historical consideration of ethical decision making. That awareness can provide you with pathways and strategies to make consistent decisions where you can clearly point to, and consider, the ethical implications and consequences of your actions.

This class will help you determine what is right when you are faced with crucial decisions in business or in any professional capacity. In the first unit, you will take a broad look at ethics, their origins in philosophy, the variety of ethical theories around the world, and the synthesis of rules that apply to international business. In the second unit, you will begin to examine how those ethics are developed, enforced, and evaluated at a practical level through codes of ethics and corporate governance. In the third unit, you will take a broader look at **stakeholders**, or all the people affected by organizational decisions, including management, employees, investors, customers, and people in the community. Stakeholders also include local government, society at large, and even the environment—in reality, business decisions affect everyone to varying degrees! In the final unit, you will focus on the changes in ethics and business practices in the 21st century, the heightened awareness of social responsibility, the implications of technological advances, and the rapid change effected by the 2020-2021 pandemic and its aftermath. Throughout the course you will be assessed on your learning by multiple-choice tests and written touchstones that help you form your own ethical identity.



REFLECT

Name one article of clothing you used today. Consider where it came from, who made it, what it is made of, how far it traveled, how and where you bought it, and whether it adds to or takes away from your **carbon footprint**, or the environmental impact of your actions on the planet. How much do you really know about each article of clothing? You will consider this further in a later tutorial.



TERMS TO KNOW

Stakeholders

All the people affected by business decisions, including management, employees, investors,

customers, and people in the community.

Carbon Footprint

The environmental impact of your actions on the planet.

2. Ethics in Ancient Greece

Like a modern metropolis, the city-state (polis) of Athens in the fifth century BCE drew people from far afield who wanted a better life. For some, that life meant engaging in trade and commerce, thanks to the openness of the new democracy established under the lawgiver Cleisthenes in 508 BCE. Others were drawn to Athens' incredibly rich architecture, poetry, drama, religious practices, politics, and schools of philosophy. Youth traveled there hoping to study with such brilliant teachers as the mathematicians Archimedes and Pythagoras; dramatists like Sophocles and Euripides; historians Herodotus and Thucydides; Hippocrates, the father of medicine; and, of course, the renowned but enigmatic philosopher Socrates.

More than being the equivalent of rock stars of their day, these thinkers, scholars, and artists challenged youth to pursue truth, no matter the cost to themselves or their personal ambitions. These leaders were interested not in fame or even in personal development but in the creation of an ideal society. This was the Golden Age of ancient Greece, whose achievements were so profound and enduring that they have formed the pillars of Western civilization for nearly two and a half millennia.



An older man tutors a boy in ancient Athens.

Philosophy, in particular, flourished during the Golden Age, with various schools of thought attempting to make sense of the natural and human worlds. The human world was thought to be grounded in the natural world but able to transcend it in striking ways, the most obvious being the use of reason and deliberation. Philosophers like Socrates, Plato, and Aristotle tackled fundamental questions of human existence with such insight that their ideas have remained relevant and universal even at the dawn of artificial intelligence.

Why are the insights of these Greek philosophers still relevant today? One reason is their development of the ancient concept of *virtue*. The person most closely associated with virtue in the West, and the development of what is now known as **virtue ethics**—that is, an ethical system based upon the exercise of certain virtues (loyalty, honor, courage) emphasizing the formation of character—is Plato's famous pupil Aristotle.

For Aristotle, everything that exists has a purpose, or end, and has been designed to meet that end. For instance, the proper end of birds is to fly, that of fish to swim. Birds and fish have been designed with the appropriate means (with feathers and fins, respectively) to achieve those ends. What is the proper end of human beings? Aristotle believed it to be **eudaimonia**, or happiness. By this, he did not mean happiness in a superficial sense, such as having fun or being content. Rather, he equated happiness with human flourishing, which he believed could be attained through the exercise of the function that distinguishes humans from the natural world: reason. For Aristotle, reason was supreme and best used to increase not wealth, but character.



THINK ABOUT IT

Make a list of 5-10 words you associate with character, or a highly ethical person. Which of these is the supreme character trait for you? Keep the list close by. You will return to it in a moment.

The great task of life, then, is to recognize and pursue happiness, no matter the constraints placed on the individual, the most dramatic of which are suffering and death. Birds and fish have little difficulty achieving their ends, if they are in the right environment, due to their genetic coding. Because happiness might not be genetically encoded in human beings, they must learn how to be happy. How do they do that? According to Aristotle, eudaimonia is achieved by leading a virtuous life, which is attained over time.

Aristotle identified two types of virtues, which the philosophical community of his day agreed were objective and not subjective. The two types were intellectual and moral. Intellectual virtues—including knowledge (*epistēmē*), wisdom (*sophiā*), and, most importantly for Aristotle, prudence (*phronēsis*), or practical wisdom—served as guides to behavior; that is, a person acted prudently based on the wisdom gained over time through the ongoing acquisition and testing of knowledge. To give an oversimplified but practical application of Aristotelian thinking, a hiring manager acts prudently when assessing a pool of candidates based on knowledge of their backgrounds and on insight gained after years of working in that role. The manager may even use intuitive reason regarding a candidate, which Aristotle believed was another way of arriving at truth. Understood in this way, the manager’s intuition is an impression regarding character and someone’s potential fit in an organization. Among the intellectual virtues, prudence played the major role because it helped individuals avoid excess and deficiency and arrive at the golden mean between the two. Prudence has been translated as “common sense” and “practical wisdom” and helps individuals make the right decision in the right way at the right time for the right reason. In Aristotle’s view, only the truly prudent person could possess all the moral virtues.

In contrast to the intellectual virtues, which focused on external acts, the moral virtues had to do with character. They included courage, self-control, open-mindedness, patience, and kindness. The paragon of these virtues was someone for whom fame and wealth held little attraction. This person had self-knowledge; was not rash, quick to anger, or submissive to others; and acted with self-respect, control, and prudence.

Intellectual Virtues	Moral Virtues
Knowledge	Courage
Wisdom	Self-Control
Prudence (Practical Wisdom)	Open-Mindedness
	Patience
	Kindness



THINK ABOUT IT

Refer back to the list of words you chose to reflect on character. Which are intellectual virtues? Which are moral virtues?

The relationship between the intellectual and the moral virtues was not as clear cut as it may appear, however, because Aristotle believed that action preceded character. In other words, the primary way to change character was through consistent, intentional behavior in the direction of virtue. Aristotle gave the example of courage. A person was not courageous first and then went about performing acts of courage. Rather, courage resulted from incremental change, small steps taken over time that molded the person’s character.

➔ **EXAMPLE** The intellectual virtue of knowledge can be obtained by reading, taking classes, or conversing with mentors; by continually opening oneself up to new experiences and different

perspectives, one can develop the moral virtue of open-mindedness.

The important task was developing the habit of leading a virtuous life. Anyone could do this; however, it was a discipline that had to be learned and practiced with dedication. You can see that this habit of virtue is especially relevant for business today, when the temptation to conform to an established organizational culture is overwhelming even when that culture may permit and even encourage questionable practices. Add the seductive power of money, and anyone's courage might be tested. Even though Aristotle was suspicious of business, he acknowledged its importance in preserving and nurturing Athenian democracy. He also praised the creation of money to further the goal of justice, so that a shoemaker and a housebuilder, for instance, could trade their wares on an equal basis. Virtue in the marketplace was demonstrated through ethical behavior, according to Aristotle. This belief in the ethics of business was crucial for the flourishing of the city-state 2500 years ago and also has implications for business today, which must consider the individual, organization, industry, and society in its development and planning.



PEOPLE TO KNOW

All of the philosophers you will learn about in these first few chapters are men, and most are European. This is not because women did not contribute to moral and ethical life, but because the patriarchal system did not record their ideas. In this way, even the greatest moral philosophers were blind to some aspects of their world. These still provide a good starting point for consideration of ethics in business and are important historically to the development of ethics. This began to change even before modern times. For example, Christine de Pizan (1364-1430) wrote philosophical treatises on virtue ethics. In *The Book of the City of Ladies*, Christine embodies Reason, Justice, and Rectitude (a concept similar to prudence) as female characters in dialogue; by presenting these characters as women, she translated Aristotelian virtue ethics for women in medieval society. She also argues in this book that men and women have the same virtues and obligations, a radical notion for the time. Though grounded in work that advised men and women on appropriate behavior in a Christian patriarchal world, her work challenged stereotypes of women and advanced women as not only capable of reason, but essential to the conversation.



TERMS TO KNOW

Virtue Ethics

An ethical system based upon the exercise of certain desirable traits like loyalty, honor, and courage.

Eudaimonia

Happiness, personal fulfillment, flourishing.

3. Ethics in Ancient China

More than a century and a half before Aristotle and on the other side of the globe, Confucius, a wandering preacher from the principality of Lu in China, also struggled to answer life's questions, although in a practical rather than a philosophical way. Confucius committed himself to healing the social divisions that were tearing China apart under the declining Zhou Dynasty. Those divisions led to what historians call the "Period of the Warring States," which persisted for two hundred years after Confucius's death. It was a time of constant warfare and violence. To counter the social disintegration he found everywhere, Confucius looked to the past, or "the wisdom of the ancients." He called for a "return to li," which was the proper order of the universe in which everyone had a role to play and there was harmony in the world.

We might see this harmony in a contemporary business setting as a team of people bringing different talents to bear on a specific project for the good (and profit) of the company. In this sense, li refers to doing those

tasks in collaboration with others to achieve the mission of the organization. For Confucius, li was expressed through ritual acts. When the correct rituals were followed in the right way with the right intention for the right end, all was well. Of course, corporate rituals also exist, and like all ritual acts, they reinforce cohesion and identity within the group. Identifying them helps improve employee awareness, productivity, and, perhaps, happiness. One example of this would be new-employee orientation, which is intended to acclimate newcomers to the corporate culture, the company ethos, and the traditions associated with the way the firm does business. Finally, anticipating Aristotle's golden mean, li emphasized the middle ground between deficiency and excess. "Nothing in excess" was its guiding principle.



Confucius in conversation with three other men.

Scholars believe that, like Aristotle, Confucius stressed the virtuous life in his ethical system, with the goal of creating a **junzi**, or a person who was gracious, magnanimous, and cultured—in other words, a flourishing human being. A junzi exhibited refinement, self-control, and balance in all things, acting neither rashly nor timidly. Such a person was the opposite of a “small” individual, who spent his or her time embroiled in petty

rivalries and for whom power was the ultimate measure of success. The concept of junzi and the Aristotelian concept of eudaimonia have much in common, except that for Confucius, there was added urgency. To be a junzi was a matter not just of honor, but of survival. It is no exaggeration to say that China's very existence depended upon the ability of individuals—nobles and peasants alike—to rise above the barbarity around them and embrace a way of life directed both outward toward social, political, and administrative reform and inward toward spiritual development. Confucius believed that living the virtues he taught would achieve both these ends.

Confucius believed people were inherently good and that the way to stop inhuman behavior was to make them even better, or more human. He identified three means to do this: “whole-hearted sincerity and truthfulness,” the “constant mean,” and “expediency.” Specific virtues like moral character, righteousness, wisdom, courage, respect, filial piety, and simplicity formed part of these means. Someone who lived virtuously became more human, which resulted in a flourishing individual and an ordered world.

“Whole-hearted sincerity and truthfulness” meant more than sincerity, because even liars can be convincing. The sincerity Confucius had in mind was closer to loyalty, and the thing to which humans had to be loyal was truth. Confucius intended to counter the blind loyalty that had contributed to the eruption of anarchy throughout China. For instance, if a subject were called upon to offer advice, the subject had to be truthful, even though the ruler might not like the advice, which actually happened to Confucius, causing him to resign his post as minister of justice in Lu. What a subject owed the ruler was not cloying deference, but the truth, which would benefit everyone in the long run. The implications for ethical behavior in modern corporations may be obvious. Reporting unethical behavior as a whistleblower or even standing up for truth in a meeting is sometimes easier said than done, which is why living virtuously requires disciplined practice and the support of like-minded individuals.

The “constant mean” refers to balance between excess and deficiency in an existential and in a practical sense. A person trying to live virtuously, in Confucius's theory, should follow the middle path, avoiding extremes of thought and action through ritual acts. A person cannot claim to lead a balanced life; they must show it by performing acts that maintain personal and collective order.



REFLECT

What similarities do you perceive between the Aristotelian view of ethics that informed ethics for thousands of years in the West and that of Confucius, which dominated thought in the East?



TERMS TO KNOW

Li

The proper order of the universe; harmony.

Junzi

A person who is gracious, magnanimous, and cultured—in other words, a flourishing human being.



SUMMARY

In this lesson, you began to answer the question, “**How do you know what is right?**,” by considering some of the oldest known attempts to answer it. **Ethics in ancient Greece** was described by Aristotle as attaining deep-rooted happiness by practicing virtues like honor and reason. **Ethics in ancient China**, as described by Confucius, had a similar interest in living a virtuous life as a way to attain personal happiness and a better society. Either of these can be described as virtue ethics, an ethical

system based upon the exercise of virtues like loyalty, honor, and courage. Importantly, people are always practicing and developing our personal virtues, be they good or bad. An important distinction between Aristotle and Confucius is that Aristotle is more focused on public life, while Confucius focused on home and family life.

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REFERENCE

Information on Christine de Pizan from [Virtue Ethics for Women 1250–1500](#).



TERMS TO KNOW

Carbon Footprint

The environmental impact of your actions on the planet.

Eudaimonia

Happiness, personal fulfillment, flourishing.

Junzi

A person who is gracious, magnanimous, and cultured—in other words, a flourishing human being.

Li

The proper order of the universe; harmony.

Stakeholders

All the people affected by business decisions, including management, employees, investors, customers, and people in the community.

Virtue Ethics

An ethical system based upon the exercise of certain virtues (loyalty, honor, courage).